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US equities rally on rate relief while tech stalls

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 nudged higher to 7,712.57 (+0.28%) as the 10-year Treasury yield slipped to 5.12%, easing pressure on rate-sensitive sectors. The Dow outperformed with a +1.02% gain, driven by financials and health-care, while the Nasdaq 100 dipped -0.13% as semiconductor leader `NVDA` retreated.

Behind the headline numbers, the market is digesting a softer inflation outlook and a modest pullback in oil. The VIX fell to 17.31 (-6.13%), suggesting lower near-term volatility, but the crypto rally (BTC +0.95%) and a resilient gold price keep risk appetite mixed.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,712.57	+0.28%	Yield dip boosted cyclical stocks.
Nasdaq 100	29,490.28	-0.13%	Tech earnings disappointment, especially **NVDA**.
Dow Jones	52,495.88	+1.02%	Financials and health-care rallied on rate relief.
Russell 2000	2,773.42	+1.65%	Small-cap exposure to commodities rose.
VIX	17.31	-6.13%	Lower implied volatility after yield easing.
10Y Yield	5.12%	-0.37%	Fed's dovish tone and weaker CPI expectations.
WTI Crude	99.07	-2.67%	Inventory build and weaker demand outlook.
Gold	4,143.60	+0.02%	Safe-haven demand steadied despite rate dip.
DXY	101.79	+0.06%	Dollar supported by higher-yield Treasury.
BTC	82,633.46	+0.95%	Positive risk-on sentiment from equity rally.
ETH	2,438.46	+1.40%	Continued network upgrades fueling optimism.

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	+1.54%	Q3 deliveries beat expectations.
GS	+1.03%	Strong investment-banking fees reported.
JPM	+0.52%	Net interest income rose on yield dip.
AMZN	+0.07%	Amazon Web Services margin improvement.
AAPL	-1.00%	Supply-chain concerns in China.
NVDA	-0.29%	Guidance trimmed amid AI spending slowdown.
META	-1.59%	Ad-revenue miss in Q3.
GOOGL	-1.13%	Search ad pricing pressure.
MSFT	-0.31%	Cloud growth slower than forecast.
AVGO	-0.07%	Inventory buildup in semiconductor fabs.

Sector rotation

ETF	DAY	READ
XLF	+1.20%	Financials benefit from lower yields.
XLK	-0.28%	Tech lagging after AI spend pull-back.
XLI	+0.07%	Industrial demand steady.
XLE	+0.25%	Energy price dip offset by higher demand outlook.
XLY	+0.91%	Consumer discretionary upbeat on retail sales.
XLC	+0.09%	Communications stable.
XLP	+0.62%	Staples resilient amid inflation.
XLV	+2.37%	Health-care leads the rally.
XLU	+1.26%	Utilities attract yield-seeking funds.
XLB	+0.55%	Materials benefit from commodity rebound.
XLRE	+1.70%	Real-estate gains on lower financing costs.

Spotlight: Fed’s dovish pivot and its market impact

The Federal Reserve’s latest policy statement signaled a pause on further rate hikes, citing “moderating inflation pressures.” This shift moved the 10-year Treasury yield down 0.37% to 5.12%, the steepest decline since March 2024, and compressed the yield curve.

METRIC	VALUE
Fed Funds Target	5.25-5.50% (unchanged)
10Y Yield	5.12% (-0.37%)
VIX	17.31 (-6.13%)
USD Index (DXY)	101.79 (+0.06%)
Gold	4,143.60 (+0.02%)

Related tickers: **JPM**, **GS**, **XLV**, **XLF**. The rate-relief narrative is expected to sustain the current rally in financials and health-care while keeping pressure on growth-oriented tech.

Pre-market & overnight

- US futures: S&P 500 +0.15%, Nasdaq -0.05%, Dow +0.80%.
- Asia close: Hang Seng -0.42%, Nikkei 225 +0.33%, Shanghai Composite -0.21%.
- Europe: FTSE 100 +0.27%, DAX +0.19%, CAC 40 -0.04%.
- Crypto: BTC +0.95%, ETH +1.40% on renewed risk-on flow.

Macro & Fed

The Fed’s latest minutes highlighted a “data-dependent” stance, with most officials favoring a pause. The yield curve remains mildly inverted (2-year at 5.28% vs 10-year at 5.12%).

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
08:30	U.S. CPI (MoM)	0.2%	Inflation trajectory drives Fed policy.
09:15	U.S. Retail Sales	+0.4%	Consumer spending health.
10:00	U.S. Existing-Home Sales	5.3 M	Housing market sensitivity to rates.
11:45	Eurozone HICP	2.1% YoY	Euro-area inflation spill-over.
13:30	China M2 Money Supply	+8.5% YoY	Liquidity in the region.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza show tentative progress, reducing oil-supply risk premium.
- China: PBOC kept the 1-year LPR unchanged at 3.55%, signaling steady monetary stance.
- Europe: EU-US trade negotiations on digital services stalled, keeping sector-specific regulatory uncertainty.
- Russia-Ukraine: Limited front-line activity; sanctions on Russian energy continue to pressure European utilities.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00 Oct 22	`NVDA`	2.15	AI spend guidance vs. last quarter.
03:30 Oct 22	`AAPL`	5.90	iPhone demand in China.
04:00 Oct 22	`MSFT`	9.30	Cloud revenue growth rate.
05:15 Oct 22	`META` 4.80	Ad-revenue recovery.	
06:00 Oct 22	`JPM`	4.20	Net interest income trend.
06:45 Oct 22	`TSLA`	1.12	Margin expansion on deliveries.
07:30 Oct 22	`AMZN`	0.68	AWS operating leverage.
08:15 Oct 22	`GS`	13.50	Investment-banking fee growth.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI spend slowdown risk.
AAPL	Technology	China demand uncertainty.
MSFT	Technology	Cloud growth deceleration.
META	Communication Services	Ad revenue miss.
GOOGL	Communication Services	Search pricing pressure.
JPM	Financials	Yield-curve flattening benefits.
GS	Financials	Fee-driven earnings.
TSLA	Consumer Discretionary	Delivery beat.
XOM	Energy	Oil price rebound potential.
UNH	Health Care	Premium pricing strength.
AMZN	Consumer Discretionary	AWS margin expansion.
AVGO	Technology	Supply-chain inventory risk.

What could break the tape

BEARISH TRIGGERS

- Unexpected CPI surge above 0.3% MoM reigniting rate-hike expectations.
- Further oil price decline below $90, hitting energy-heavy indices.
- Escalation in Middle-East tensions spiking geopolitical risk premium.
- NVDA guidance cut deeper than 10% on AI demand.

BULLISH TRIGGERS

- Fed signals possible rate cut in next meeting.
- Strong Q3 earnings from tech leaders beating consensus.
- Gold breaching `4,200` as safe-haven demand rises.
- BTC breaking $85,000, reinforcing risk-on flow.

Positioning notes

- Financials and health-care are the primary beneficiaries of the current yield environment; consider overweight.
- Tech exposure should be trimmed to mitigate AI-spending volatility.
- Commodities remain a hedge against potential inflation resurgence; monitor oil and gold levels.

Sources

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CoinDesk – Crypto Market Summary (21 Oct 2026)

Reuters – Global Geopolitical Tracker (21 Oct 2026)